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Arie's AI co-leadership dilemma

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There was a time when no management discussion could escape the topic of AI. AI for decision support? Obvious. AI for autonomous decisions? Some even advocated for that. But AI for leadership? Wasn't leadership the last human stronghold–the one domain where emotional intelligence, intuition and personal presence couldn't be automated?

Arie Iyana, a recently promoted middle manager at InnovElectronics, a mid-sized HealthTech company, sat at her desk, a knot of mixed emotions in her stomach. The soft glow of her desk lamp cast ominous shadows, while outside, the industrial hub flickered like a restless beast, echoing Arie's own heartbeat as she faced the exhilarating terror of the unknown.

It had only been eight months since she had been given her first role with personnel responsibility, leading a product development team of twelve. The transition to this position had been a challenging one, and just as she was beginning to feel more confident in her leadership abilities, an unexpected opportunity had come her way: an invitation to join the company's experimental "AI Co-Leadership" program.

The AI Co-Leadership program, designed by InnovElectronics' HR and innovation teams, aimed to use artificial intelligence as a co-leader to assist managers in navigating their day-to-day responsibilities. The AI was not just a data-crunching tool but rather an adaptive partner with a range of features to streamline management tasks, offer insights, and even coach managers on interpersonal challenges. Arie found herself wondering what it would truly mean to co-lead with an AI–would it feel like an effective partnership, or more like an uneasy alliance where she constantly had to validate or correct its decisions? She was concerned about how much autonomy she would retain and whether the AI would eventually overshadow her own judgment. There was also the question of how she might need to step in when the AI made mistakes, and whether that would reflect poorly on her ability to lead effectively.

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IESE cases are designed to promote class discussion rather than to illustrate effective or ineffective management of a given situation.

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If Arie accepted, she would be at the cutting edge of management technology. The opportunity came as part of her nomination to a new internal leadership development program, where selected managers could choose between two tracks: a classical leadership rotation with expanded responsibilities, or the experimental AI co-leadership track, designed to explore the future of augmented leadership.

However, the prospect was daunting. Arie had her doubts about how effective the AI support would be and whether the technology was mature enough to handle the complexities of human dynamics. She also worried about how her team members would react to being partially managed by an AI. Earlier that week, a skeptical senior leader had shared an anecdote during a leadership roundtable. She described two young strategists: one who had started relying heavily on an AI-powered slide generation tool to produce presentation decks with minimal input, and another who began each project by sketching out rough ideas on paper, then used the AI to refine structure and iterate on messaging. Over time, the second strategist developed deeper insights, sharper arguments and a stronger voice in meetings–while the first began to fade in visibility. "AI should amplify your thinking, not replace it," the senior leader had said pointedly. The message lingered in Arie's mind, adding a political undertone to the decision she now faced.

As she read over the offer for the fifth time, she wondered: should she take the leap into this bold, uncertain future? She opened her laptop to reply to the program lead, fingers poised over the keyboard–then paused. She also worried about herself. Would she succeed in co-leading with an AI—or, if problems arose, find herself in the spotlight as everyone watched this new initiative unfold? At the same time, Arie felt some pressure: if she declined, would she appear resistant to change, risking her standing in the eyes of the new leadership? She also sensed that others were watching closely. Several peers had already asked what she would choose–some with curiosity, others with quiet skepticism. Arie knew this decision wasn't just personal; it might define her trajectory and influence the company's evolving expectations for leadership.

And how would she develop as a leader? Would she grow dependent on a specific technology that could turn out to be a fad, ultimately leaving her leadership skills less transferable to another organization or role should she ever seek new options? She worried that relying too heavily on AI might lead to atrophy in some of her core management skills, such as conflict resolution, empathy, and the nuanced understanding of team dynamics. If the AI took over these critical functions, would she still be seen as a competent leader, or merely a facilitator for the technology? Arie feared that, in the long run, her ability to adapt to different leadership environments could be compromised, making her less agile in a rapidly changing job market.

Arie's background and early struggles

Born in Bangalore, India's tech hub, Arie's fascination with engineering was evident from an early age. After excelling at a premier Indian engineering institute, she entered the corporate world, quickly making her mark and eventually pursuing an MBA in Europe. This experience refined her leadership philosophy, blending engineering precision with a nuanced approach to management. Her beginnings as a manager had not been easy. She inherited a high-performing but difficult team member who created challenges for team morale. After he left to join a competitor, Arie faced new struggles when a conflict arose between two engineers over how to distribute the departed team member's tasks. Each engineer credibly claimed to be best suited for the more prestigious and visible deliverables that might lead to future promotions. These experiences tested Arie's resilience and shaped her understanding of leadership's complexities, especially the delicate balance between individual aspirations and team cohesion.

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Arie also thought back to her early days in the role, overwhelmed by the time she had to spend in status update meetings. The interdependence of the team's work on the products they were managing and developing meant that she had to constantly gather information from different people, synthesize it and ensure everyone was aligned. She often felt exhausted by these endless meetings, wishing she could spend that time thinking more strategically or investing in her team members' development. The idea of the AI handling status updates was appealing–it could save her hours every week, hours she could use to grow both herself and her team.

She remembered the frustrations of trying to second-guess her team members' motivational profiles. She had recently missed her goddaughter's birthday trying to rewrite a feedback email –a moment that stung more than she expected, and one that reminded her how much time was lost in the fog of managerial guesswork about the root causes of conflicts. The challenge of interpreting the subtleties of their behavior, along with the constant worry about how to phrase critical emails, had drained her energy. There were many nights when she found herself drafting and re-drafting messages, fretting over every word. These were areas where the AI promised to help–analyzing team sentiment, providing insights into conflicts and even suggesting how to formulate difficult communications. If the AI could take on these burdens, maybe she could finally become the leader she aspired to be–one who focused on vision, growth and fostering team potential rather than being bogged down by day-to-day uncertainties. It could also give her more time for herself, allowing her to find a better work-life balance–something that had felt increasingly out of reach since she took on her managerial responsibilities.

The company

InnovElectronics had a legacy spanning over a century. It had evolved from a modest manufacturing workshop into a mid-sized consumer electronics company with about 2,500 employees. The company's headquarters were nestled in a historic European industrial hub, and its growth had been both organic and through a series of small acquisitions. InnovElectronics offered a diverse product range, including advanced medical imaging devices, all united under its blue logo –a symbol of quality and innovation. However, its organizational structure had become a complex tapestry reflective of its long history. Layers of management had been added with each phase of expansion, creating a labyrinthine hierarchy that, while once efficient, now seemed to slow the company's reflexes in a market that demanded agility. Recently, InnovElectronics was acquired by private equity investors who saw the potential to introduce new technological innovation into how the business is managed.

The company's success had been built on the backs of its middle managers, who translated executive vision into operational reality, but the digital age questioned the necessity of this bridge. The AI Co-Leadership program was one of the initiatives intended to modernize the company's management approach, helping it regain agility while exploring new ways to leverage technology in leadership. Jonas Mertens, a rising executive known for his early bets on emerging technologies, was among the program's strongest advocates. He had already piloted AI tools in operations and swore by their results. "In five years," he had told Arie over lunch, "leaders who can't work with AI will be reporting to those who can." His confidence was infectious–and intimidating. Arie couldn't tell if his enthusiasm inspired her or made her nervous.

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Company culture and team reactions

The company culture at InnovElectronics was still somewhat fragmented following the acquisition. There was considerable uncertainty among employees due to the new private equity owners and their focus on profitability and organizational efficiency. While the new owners communicated a coherent turnaround story–emphasizing the combination of the latest technologies with InnovElectronics' long tradition–the culture remained a mix of new and old values. On the surface, innovation and quality were often highlighted as core values, but under the hood, a sense of caution, hierarchy, and the need to defend decisions remained prominent. This environment sometimes curbed risk-taking and innovativeness, as employees were encouraged to play it safe rather than push boundaries.

The potential introduction of the AI Co-Leadership program was met with mixed reactions within Arie's team. Some team members were curious and excited about the possibility of reducing mundane tasks and receiving more consistent feedback. They saw AI as an opportunity to enhance productivity and focus on more meaningful work. Others, however, displayed early signs of passive resistance–sarcastic jokes about "robo-bosses" circulated on Slack, and a few team members quietly postponed their introductory 1:1s with the AI assistant, raising concerns about disengagement or subtle pushback.

However, others were wary of the potential loss of privacy, knowing their messages could be monitored or analyzed. They feared that an AI co-leader could add a layer of surveillance, eroding trust and making the workplace feel more impersonal. Arie shared their concern. She worried about the chilling effect such monitoring could have on open communication. Would team members begin to censor themselves, worried that an algorithm could misinterpret their casual comments or frustrations?

She also wondered whether the AI might fail to understand the nuances of human interactions, leading to misguided interventions that could escalate, rather than resolve, conflicts. Balancing the benefits of enhanced productivity with the risks to team morale and psychological safety weighed heavily on her mind. Arie knew that her team's morale and buy-in were crucial for the success of any new initiative, and that while efficiency was important, the cultural and emotional challenges required careful navigation to avoid undermining trust. As she sat with the proposal, she realized this decision would reverberate beyond her team. Would she be remembered as someone who leaned into innovation–or as the leader who quietly opened the door to something irreversible?

The AI co-leadership proposal

The AI co-leader offered a range of capabilities designed to reduce managerial workload and enhance effectiveness. As an AI "Chief of Staff," it would monitor meetings and communications, auto-generate summaries and help organize workflows. These capabilities were grouped into three main areas:

1. Operational awareness: The AI promised to help Arie maintain real-time visibility into team progress, blockers and overall engagement by collecting status updates, analyzing signals across platforms and surfacing trends. This meant she could potentially skip routine check-ins and instead focus on higher-level priorities–though it also raised the risk of becoming reactive to AI-flagged issues rather than proactively sensing them herself. In an earlier pilot, the AI flagged declining engagement in a remote product team

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by tracking missed stand-ups and changes in email tone. But when the manager raised the issue, the team felt blindsided and surveilled. Trust eroded quickly, and productivity dropped further. Yet in another instance, the AI noticed a sudden drop in informal Slack chatter within a high-performing engineering team–something their manager had missed entirely. On closer inspection, it emerged that several team members were quietly burning out. Early intervention prevented two resignations and helped rebalance the team's workload.

2. Feedback and development: The AI would analyze digital deliverables and provide initial feedback to team members. It would also serve as a personal development tool for Arie, coaching her through role-playing simulations of difficult conversations and offering suggestions to improve her communication style. This dual use raised a question: would these tools empower more timely, personalized development, or replace the reflective learning process with templated interaction? In one department, an AI-generated comment on a junior designer's report praised efficiency but ignored nuance and originality.

   The employee, previously engaged, began to disengage, feeling unseen. In contrast, in a different division, a team lead had long avoided a difficult conversation with a peer who consistently overstepped into her team's domain. Encouraged by the AI's coaching simulations and scripting guidance, she finally scheduled the meeting. The conversation, while tense, helped clarify boundaries and led to a new collaboration framework. She later admitted that without the AI rehearsing the dialogue with her, she would have continued to disengage silently–and might have started exploring roles outside the company.

3. Interpersonal insight and intervention: Perhaps the boldest promise was the AI's ability to detect early signs of conflict, demotivation or burnout through linguistic and behavioral analysis. It would offer suggestions for intervention, even scripting potential responses. For Arie, this was both thrilling and unsettling–could she trust an algorithm to understand the emotional nuances of her team, or would reliance on machine insight risk oversimplifying human complexity? The AI advised a marketing lead in a parallel pilot to intervene in what it flagged as growing tension between two team members. The intervention, based on misinterpreted sarcasm in Slack messages, turned a light disagreement into an actual rift. The manager later said she felt she had been "puppeteered" into conflict. In another case, however, the AI flagged a puzzling drop in output from a software engineer who had consistently been a top performer.

   Upon closer review, it became clear that the engineer had unknowingly continued to work from an outdated project plan, committing code to a deprecated branch in a repository that was no longer actively monitored. The issue had gone unnoticed by the manager, who assumed the engineer was simply delayed. Prompted by the AI's anomaly detection, the manager uncovered the misalignment, clarified expectations and reintegrated the engineer into the correct workflow. Without the AI surfacing the inconsistency, the mismatch might have persisted for weeks–possibly undermining both the engineer's motivation and credibility, as well as delaying the project´s timeline.

While these capabilities were impressive, Arie knew that they were still in development. There were uncertainties about the AI's accuracy, especially regarding emotional cues and motivational issues. Moreover, the ethical implications of having an AI monitor team communications were significant. How would her team feel about their emails being analyzed by an algorithm? Would the AI be biased, potentially perpetuating stereotypes or discriminating against minorities, as such biases might be rampant in the training data?

She also wondered if this was just the beginning. Would she, by helping refine the AI's ability to manage, actually be training the system that might one day replace her? And if she said yes, would her choice quietly signal to others that human leadership was becoming optional?

She stared at the email draft on her screen, her cursor blinking like a silent metronome. This wasn't just a professional development decision. It was a line in the sand–between leading with intuition and adapting to algorithmic logic, between being an architect of culture or a steward of efficiency. And once crossed, there might be no going back.

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